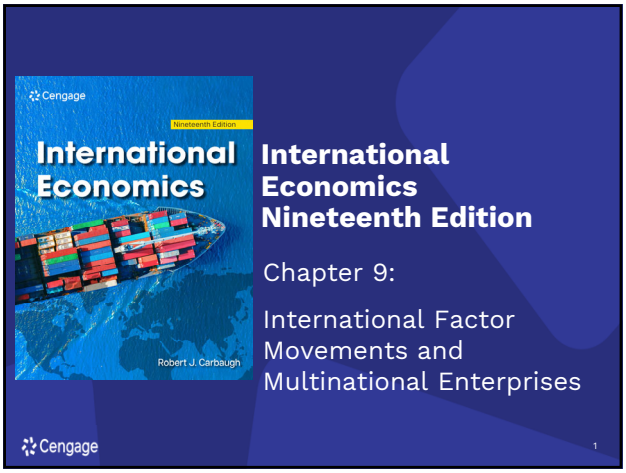


1

Chapter Objectives

After completing this chapter, you should be able to:

9.1 Describe the characteristics of different types of multinational enterprises.

9.2 Differentiate between exporting and foreign direct investment (licensing).

9.3 Describe how a multinational enterprise can serve as a source of conflict.

9.4 Discuss the effects of international migration and immigration policy.

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2

What is the Multinational Enterprise (MNE)?

- Multinational enterprises (MNEs) drive international capital reallocation
- Key traits:
  - Operates in multiple countries (host nations)
  - Activities: R&D, manufacturing, mining, services
  - Managed globally, often far from host countries
  - Multinational ownership and management
  - High foreign sales (25 percent+ of total)
  - Massive scale

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What is the Multinational Enterprise (MNE)?

Vertical Integration	Horizontal Integration	Conglomerate Integration
• Parent establishes foreign subsidiaries to link production stages • Backward: Raw materials • Forward: To final markets • Why? Economies of scale, specialization	• Parent company produces same product in new markets • Example: Coca-Cola bottling worldwide • Why? Avoid tariffs, meet local tastes	• Diversify into nonrelated markets • Example: ExxonMobil buys copper mines (1980s) • Why? Diversify beyond core business

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4

What is the Multinational Enterprise (MNE)?

- MNEs move factors (capital/labor), not just goods
- Foreign Direct Investment (FDI):
  - Buy control (10 percent+ stake), build plants, expand subsidiaries, reinvest profits
- 2022 U.S. FDI
  - Out: Europe, Latin America, Canada (manufacturing)
  - In: Europe, Canada, Asia (manufacturing, oil, trade)

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Table 9.1 The World's Largest Corporations, 2023

Firm	Headquarters	Revenue (billions of dollars)	Number of Employees
Walmart	United States	611.3	2,100,000
Saudi Aramco	Saudi Arabia	603.6	70,490
State Grid	China	530.1	870,2870
Amazon	United States	514.0	1,541,000
China National Petroleum	China	483.0	1,087,050
Sinopec Group	China	471.2	527,480
Exxon Mobil	United States	409.7	62,000
Apple	United States	394.3	164,000
Shell	United Kingdom	386.2	93,000
UnitedHealth Group	United States	324.2	400,000

Source: From *Fortune Global 500*, 2023,

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Table 9.2 Direct Investment Position of the U.S. on a Historical Cost Basis, 2022

	U.S. Direct Investment Abroad		Foreign Direct Investment in U.S.	
	Amount ($ billion)	Percentage	Amount ($ billion)	Percentage
Canada	438.8	6.7	589.3	11.2
Europe	4,026.8	61.2	3,397.5	64.6
Latin America	1,037.9	15.9	211.9	4.0
Africa	46.2	0.01	11.3	0.0
Middle East	80.1	1.7	43.9	0.01
Asia and Pacific	951.2	14.5	1,002.0	19.9
Total	**6,581.0**	**100.0**	**5,255.9**	**100.0**

Source: From U.S. Department of Commerce, *U.S. Direct Investment Position Abroad and Foreign Direct Investment Position in the United States on a Historical-Cost Basis, available at http://bea.doc.gov.*

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What are the Motives for Foreign Direct Investment?

- FDI boosts growth, jobs, tech in open economies
- Firms plan for profit: low-return areas → high-return areas
- Motives:
  - Demand: new markets
  - Cost: cheaper production
  - Trade barriers, regulations, transport costs
- Benefits: higher productivity, wages, export growth

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Demand Factors

- MNEs seek new demand when exports falter
  - Better distribution, local tastes matter
  - Example: GM builds in UK, France, Brazil for local sales
- Contrast: Boeing exports from U.S. (scale too big for small markets)

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Cost Factors

- MNEs seek to increase profit levels through reductions in production costs
  - Pursuit of essential raw materials: extractive industries, agricultural commodities
  - Labor: U.S. electronics go abroad for cheaper wages
    - High U.S. wages acceptable if productivity matches

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Cost Factors

- MNEs seek to increase profit levels through reductions in production costs
  - Transport:
    - High raw material costs → produce near source (steel)
    - High product costs → near markets (Coca-Cola)
  - Government: subsidies or tariffs (Brazil autos)

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Will Manufacturers Exit China for Vietnam? It Is Difficult to Do

- 2019: U.S. tariffs aimed to shift firms to Vietnam/India
  - Reality: few left China—why?
  - Many (e.g., Caterpillar) serve China's market, not U.S.
  - China's supply chains (25M workers) beat Vietnam's capacity
  - India: cheap labor, but less skilled, more red tape
- Outcome: some diversify, but mass exit stalls

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Direct Exporting Versus Foreign Direct Investment/Licensing

- Example: Anheuser-Busch (Budweiser) in Canada
- Options:
  - Export from Wisconsin
  - Build brewery in Canada (FDI)
  - License a Canadian firm
- Deciders: scale, transport costs, trade barriers

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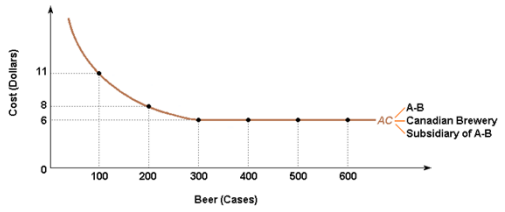
Direct Exporting Versus Foreign Direct Investment/Licensing

- Small Demand
  - Export wins
- Large Demand
  - FDI/licensing evens out
- Transport/tariffs can tip the scales
  - If Canada has high import tariffs, production cost advantage may be offset

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Figure 9.1 The Choice Between Direct Exporting and Foreign Direct Investment or Licensing



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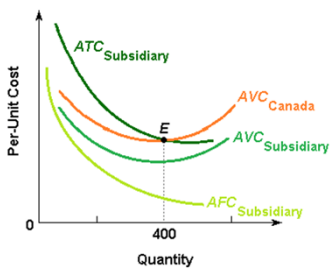
Foreign Direct Investment Versus Licensing

- Small market
  - License beats FDI (lower fixed costs)
- Big market
  - FDI wins (capital advantage)
- Risks: currency fluctuations, subsidiary expropriations

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Figure 9.2 The Choice Between Foreign Direct Investment and Licensing



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What is Country Risk Analysis?

- Analysis Types:
  - Political: stability, corruption, domestic conflict, religious tensions, ethnic tensions
  - Financial: debt as percentage of GDP, loan default, exchange rate stability
  - Economic: rate of growth of GDP, per capita GDP, inflation rate

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What is Country Risk Analysis?

- Composite rating guides
  - Allianz Trade Insurance Company
  - Political Risk Services
  - Bank of America World Information Services
  - Moody's Investor Services

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Table 9.3 Selected Country Risk Ratings, 2023

Country	Country Risk Rating, Medium Term
United States	AA
Switzerland	AA
San Marino	A
Hong Kong	BB
Iceland	BB
Serbia	B
China	B
Grenada	C
Guinea	D
Laos	D
Russia	D

Source: From *Country Risk Ratings 2023*, Allianz Trade Insurance Company, available at https://www.allianz-trade.com.

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Foreign Auto-Assembly Plants in the United States

- Japanese Transplants in the U.S.
  - Since 1980s: billions in U.S. plants
- Benefits:
  - Silencing critics who say autos must be built in U.S.
  - Avoiding import barriers of U.S.
  - Gaining access to expanding markets
  - Providing hedge against changes in the yen-dollar exchange rate

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Foreign Auto-Assembly Plants in the United States

- Pros
  - Jobs, tech transfer (quality control)
- Cons
  - Union fears job loss, imported parts limit gains

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Table 9.4 Examples of Foreign Auto Assembly Plants in the United States

Company	U.S. Location
Toyota Motor Corporation	Georgetown, Kentucky; San Antonio, Texas
Honda Motor Company	Marysville, Ohio; Lincoln, Alabama
Nissan Motor Company	Smyrna, Tennessee; Canton, Mississippi
Mazda Motor Corporation	Madison, Alabama
Subaru Corporation	Lafayette, Indiana
Kia Motors	West Point, Georgia
Volkswagen Group	Chattanooga, Tennessee; Tulsa, Oklahoma
Volvo Cars	Ridgeville, South Carolina
BMW Group	Greer, South Carolina
Mercedes-Benz Group	Vance, Alabama

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What Are International Joint Ventures?

- Definition: 2+ firms combine skills/assets
  - Examples: Alphabet-Glaxo (2016), Uber-Volvo (2016)
- Why? Share R&D costs, dodge protectionism (Toyota-U.S.)
- Challenge: split control, clashing cultures

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Justifications for Joint Ventures

- Justifications:
  - Functions are too costly for one company to absorb
  - Governments place restrictions on foreign ownership of local businesses
  - Forestalling protectionism against imports

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Justifications for Joint Ventures

- Gains: competition, new markets, cost cuts
- Some Losses: monopoly power raises prices
- Welfare hinges on efficiency vs. deadweight loss

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Welfare Effects of an International Joint Venture

- Welfare Gains
  - Increased productive capacity and additional competition
  - Entrance into new markets that neither parent could have entered individually
  - Cost reductions that would have been unavailable if each parent performed same function separately

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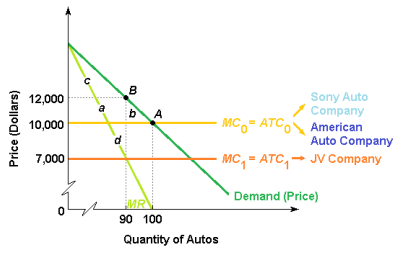
Welfare Effects of an International Joint Venture

- Welfare Losses
  - Increased market power when joint venture is formed in markets in which the parents conduct business
    - Parents agree on prices and output
    - Coordination of activities limits competition, reinforces upward pressure on prices, and lowers the level of domestic welfare

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Figure 9.3 Welfare Effects of an International Joint Venture



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Employment

Host Country	Source Country
• If purchasing already existing local businesses, no effect • If establishing new businesses, employment increases	• Issues of runaway jobs and cheap foreign labor • MNEs can escape collective-bargaining influence of domestic unions • Employment declines in short term • Other industries– foreign sales rise over time

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National Sovereignty

- Many nations fear the presence of MNEs results in loss of national sovereignty
  - May affect economic and other policies of host and source governments
  - May shift profits overseas and evade taxes of host country
  - Political influence of MNEs problematic
    - Example: ITT meddles in Chile (1970)

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Transfer Pricing

- MNEs set internal prices to shift profits
  - Choice of transfer prices affects division of total profit among parts of company and thus influences overall tax burden
  - Example: Dell overpays Malaysia (15 percent tax) to cut U.S. tax (21 percent)
- Result: One country loses, another gains—regulation clashes

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What is International Labor Mobility: Migration?

- U.S.: "melting pot" for economic, political reasons
- Efficiency gains, but restricted (1924 Act favored N. Europe)
- 1960s: quota formula was modified, boosted Asian inflows

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Table 9.5 U.S. Immigration 1820–2020

Period	Number (Thousands) of Legal Immigrants
1820–1840	743
1841–1860	4,311
1861–1880	5,127
1881–1900	8,934
1901–1920	14,531
1921–1940	4,636
1941–1960	3,551
1961–1980	7,815
1981–2000	16,433
2001–2020	20,709

Source: From U.S. Department of Homeland Security, Office of Immigration Statistics, *Yearbook of Immigration Statistics*, 2022,

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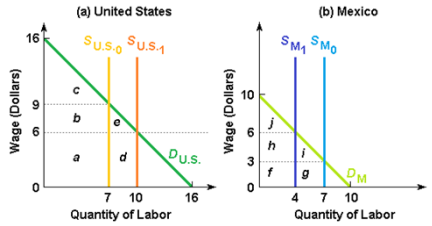
The Effects of Migration

- Effect of labor mobility is to equalize wages in two countries
  - Redistribute income from labor to capital in the United States
  - Redistribute income from capital to labor in Mexico
- Migration also affects the distribution of income
- Productivity drives global gains

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Figure 9.4 Effects of Labor Migration From Mexico to the United States



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Immigration as an Issue

- Domestic labor groups prefer restrictions on immigration
- Domestic manufacturers favor unrestricted immigration as source of cheap labor
- Welfare fears overstated
  - Long-term calculations: immigrants make a net-positive contribution to public coffers

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Immigration as an Issue

- Brain drain hurts developing nations
- Temporary (guest workers) and illegal migration complicate

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U.S. Immigration Laws

- Quota Law 1921: quotas curb E./S. Europe
- Immigration and Nationality Act Amendments 1965: shift to family, skills (no refugee cap)
- Immigration Reform and Control Act 1986: fines for hiring undocumented people

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Does Canada's Immigration Policy Provide a Model for the United States?

- Goal: skilled, young immigrants (250K/year)
- Point system: language, education, experience
- Why? Sparse population, aging workforce
- 2020s strain: housing, health pressures

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Is International Trade a Substitute for Migration?

- According to the factor-endowment theory, international trade can provide a substitute for the movement of resources from one country to another
  - Countries that have abundant labor can specialize in labor-intensive products and export them to countries where labor is scarce
  - In a sense, labor is embodied in products and redistributed through international trade
- The same conclusion pertains to capital, land, and other resources

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